

# Business Performance & Profitability Analysis

This dataset represents a retail company's sales data.  
My goal is to understand:

- Which regions are profitable
- Which products cause losses
- Whether high sales always mean high profit

EXCEL:

- 1 Pivot table created
- 2 Regions with Sales & Profit visible

## 1. Which regions are profitable?

Based on pivot table:

- **West** is the **most profitable region**  
→ Highest profit (₹1,08,418) and highest sales (₹7,25,458)
- **East** is the **second most profitable**  
→ Strong sales and good profit (₹91,523)
- **South** is profitable but **low-performing**  
→ Lower sales and lower profit compared to West & East
- **Central** is the **least profitable region**  
→ Profit is very low (₹39,706) compared to its sales

☒ Conclusion:

West and East are the key profit-driving regions.  
Central and South need attention for improvement.

## Does high sales always mean high profit?

NO — Data clearly proves this.

Examples from output:

- **Central region**
  - Sales: ₹5,01,240
  - Profit: only ₹39,706
  - ☞ High sales, very low profit
- **South region**
  - Sales: ₹3,91,722
  - Profit: ₹46,749
  - ☞ Moderate sales, low profit
- **West region**

- High sales **and** high profit
  - ☞ This is the *ideal* case, not the rule

☑ Conclusion (VERY IMPORTANT):

High sales do NOT always guarantee high profit.  
Profitability depends on cost, discounts, and product mix.

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## 2. Which products cause losses

In the **Central region**, the following sub-categories are **loss-making**:

✗ Loss-making products

- **Tables** → ₹ -3,560
- **Furnishings** → ₹ -3,906
- **Appliances** → ₹ -2,639
- **Bookcases** → ₹ -1,998
- **Machines** → ₹ -1,486
- **Binders** → ₹ -1,044
- **Supplies** → ₹ -662

☞ These products are **selling**, but the company is **losing money on them**.

## What is the key business problem here?

🔍 Critical insight:

- These loss-making products still have **significant sales**
- Example:
  - **Tables** → ₹39,155 sales but **negative profit**
  - **Bookcases** → ₹24,157 sales but **negative profit**

## Do high sales always mean high profit?

✗ NO — your data clearly proves it.

Examples:

- **Tables**: High sales → Loss
- **Appliances**: Decent sales → Loss
- **Machines**: High ticket → Loss

Meanwhile:

- **Copiers** → ₹15,609 profit
  - **Phones** → ₹12,323 profit
  - **Accessories** → ₹7,252 profit
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